

CHINA SPORTSWEAR

1H26 results and ALC wrap: Demand divergence, margin pressure and next growth frontier

Our covered Sportswear brands/Distributors reported **better-than-feared 1H26 results albeit with mixed 2H26 guidance trends**. Anta's core NP beat in 1H26 and FY26 guidance was maintained; Li Ning's NP was better-than-feared in 1H26 but FY26 sales and margin guidance were lowered; Xtep's NP slightly beat in 1H26 but FY26 sales guidance was lowered. Separately, we hosted Li Ning for an NDR post the results release and Anta, Xtep, Pou Sheng and Asics at our Asia Leaders Conference during August 31-September 2. In this report, we summarize our key takeaways from both the results season and management meetings.

Looking into 2H26E, we expect 1) **China sportswear demand** to remain incremental but volatile amid the fluid consumption backdrop. Industry growth remains increasingly bifurcated, with premium/professional brands outperforming though there is increasing concern on a slowdown. 2) **From a channel perspective**, we continue to see online sales outperforming and offline traffic migrating from traditional street stores toward shopping malls and outlets, driving brands to enhance online operations and optimize offline store portfolios toward higher-productivity locations. 3) **Discounting pressure is likely to persist**. Nike's marketplace clean-up could deepen industry-wide discounts in the near term, especially during Double 11 given soft 3QTD sell-through trends, while its long-term premiumization strategy could help restore industry pricing discipline. 4) **Overseas expansion** was particularly highlighted in recent results briefings by leading domestic brands, though contribution should remain limited in the near-term given the early-stage nature of most initiatives. 5) **On COGS**, discount pressure remains differentiated depending on category positioning and channel strategy. Raw-material cost inflation should have a limited impact in FY26 given procurement lock-in and supply-chain mitigation measures, although FY27 cost pressure remains a watch point but should be manageable. **On OPEX**, we think A&P expense is likely to stay elevated for Li Ning due to continued investment in the Chinese Olympic Committee partnership and collaboration with Stephen Curry, and be relatively disciplined for Anta and Xtep. That said, operating deleverage will be a risk for slower-growing brands should revenue recovery fall short of expectations.

We continue to favor Anta (Buy) for its multi-brand strategies, differentiated category positioning and solid execution. While we remain constructive on Li Ning's/Xtep's long-term growth, near-term brand investments (for Li Ning) and DTC

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transition (for Xtep) could drag short-term profitability. Having said that, Li Ning could see near-term events including Stephen Curry's China Tour (Sep 9 to Sep 14), Asia Olympics (Sep 19 to Oct 4), etc., which could help drive brand momentum. In the Sports/Apparel value chain, we continue to prefer Sports brands over OEMs and distributors.

2H26 outlook: Continuous diverged trends amid muted and fluid demand backdrop

China sportswear demand

We expect sportswear consumption to grow at ~MSD% during 2026E-28E, still driven by niche categories/brands. On the company level, **Anta** group maintained FY26 guidance of +LSD%/+MSD%/>20% retail sales growth for Anta brand/Fila/other brands; **Li Ning** lowered FY26 revenue guidance to +LSD% yoy (from prior: +HSD% yoy); **Xtep** group lowered FY26 revenue guidance to -LSD% yoy (from prior: +MSD% yoy) and Saucony brand at c.+10% yoy growth (from prior: +20-30% yoy); **361 Degrees** (not covered) maintained FY26 revenue guidance of +8%-10% yoy. **Looking into 2H26E**, July could mark the trough and see softness across most brands, but Aug showing modest sequential improvement particularly among premium brands. That said, Sept could see some support from favorable seasonality, aided by the Mid-Autumn Festival shifting into Sept this year versus Oct last year, followed by Golden Week traffic in Oct and the run-up to Double 11. In addition, sports-event calendar into Sep and Oct will be dense, including Stephen Curry's China Tour (Li-Ning), the Asian Games (Li-Ning, 361°), and the NBA China Games in Macau plus the regular-season tip-off, etc. (see [Exhibit 2](#)). Against this backdrop, **discounts could be a swing factor** amid Nike's recent online channel reshuffling and fluid demand.

We continue to see growth divergence between mass and premium/professional segments. Premium/niche brands including Descente / Kolon / Saucony / Amer Sports / ASICS / On etc. continue to outperform, while mass-market/large brands remain competitive and more dependent on macro conditions and consumer confidence (adidas outperformed at DD growth). **By category: Running** remains a core category across most brands (32% of Li Ning retail sales, c.60% of Xtep core brand sales) due to its scale and strategic importance, while competition is also getting fiercer. Although growth is normalizing as penetration reaches a higher level and consumers become more discerning, demand continues to concentrate toward performance-oriented products with clear technological differentiation and at the same time, we noticed wearing occasion of running shoes is expanding to casual wear, supporting a larger addressable market. **Outdoor** remains a growth driver, although category growth is normalizing from the exceptionally strong pace seen in prior years. We expect the category to continue outgrowing the broader sportswear market (Descente / Kolon / Amer / Columbia sales growth of >+25%/>+45%/+40%/+MSD% yoy), supported by rising participation rates, increasing frequency of engagement and growing demand for more specialized products. On **Sports casual**, we see early signs of stabilization with an undemanding base, although the recovery trajectory will likely remain dependent on product and brand cycles. Li Ning's sports casual category recovered to flat yoy in 1H26 vs. -9% decline yoy in 2025. Onitsuka Tiger growth slightly accelerated to +15% yoy in 2Q26 (vs. +14% yoy in 1Q26). Anta / Xtep mgmt noted fashion cycles of lifestyle products is rising though consumer enthusiasm remains below the trade-up cycle seen prior to Covid period. **Basketball** is likely to remain challenging. The category continues to face structural pressure from a slowing basketball participation trend, weaker demand for signature products and increasing competition from running and outdoor activities for consumers' discretionary spending. In addition, basketball footwear remains highly dependent on product cycles and athlete endorsements, resulting in a less favorable growth outlook relative to other major categories.

From a channel perspective, we continue to see **online channels outperforming** in 1H26, mainly supported by growing penetration of content-driven ecommerce, membership operations, etc. Meanwhile, **offline consumer traffic** continues to migrate away from traditional street stores toward shopping malls and outlets. As consumer journeys become increasingly omni-channel and decentralized, we noticed leading brands are increasingly focusing on enhancing online operational capabilities while upgrading offline store portfolios toward higher-productivity and experience-oriented locations.

Exhibit 1: 2026 Guidance updates

Company	Latest Date of guidance given	Sales	Store	GPM	OPEX and OPM or NPM
Anta	2026-08-26	all reiterated Anta brand/Fila/other brands retail sales growth +LSD%/+MSD%/>20%	Anta/Anta Kids targets at 7,100-7,200/2,500-2,600 stores by year-end of 2026 (v.s. 7,122/2,560 by end of 1H26); guide up by +100 stores Total stores (Fila, Fila Kids, Fila Fusion) targets at 1,900-2,000 stores by 2026 (vs. 2,040 by 2025); target unchanged Descente targets at 270-280 stores by year-end of 2026 (vs. 261 by end of 1H26), guide up by +10 store Kolon targets 210-220 stores by year-end of 2026 (vs. 212 by end of 1H26), guide down by -10 stores	-	Anta brand/Fila/other brands OPM at c.20%/25%/>25%
Li Ning	2026-08-21	revised down FY26 revenue growth to +LSD% yoy	-	FY26 GPM to be on par with FY25 level (49.0%) or slightly better	NPM revised down to MSD%-HSD% A&P ratio to reach mid-teen% in 2H26 or low-to-mid teen% in FY26
Xtep	2026-08-25	revised down to -LSD% yoy decline	Xtep core: DTC transformation is on track with its previous plan. converted 100 stores in 1H26, and expect to convert an additional 400 stores in 2H2026. Saucony: expect to open 20-30 new stores in 2026.	-	reiterate NPM HSD%
Pou Sheng	2026-09-01	-	-	The company looks to maintain disciplined discounts into 2H26, prioritizing GPM over absolute sales growth.	-

Source: Company data, data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Key sports events to watch

Dates	Event	Location	Related sport brands
2026.09.09 – 2026.09.14	Curry China Tour 2026	Beijing, Dongguan, Shenzhen, Hong Kong	Li-Ning: Official host and partner brand
2026.09.19 – 2026.10.04	2026 Asian Games	Aichi / Nagoya	1. Li-Ning: Official partner of COC, providing podium apparel featuring thermal-regulation technology and team uniforms. 2. 361°: Official Asian Games partner, supplying gear for officials, referees, and volunteers.
2026.09.30 – 2026.10.18	China Open & Shanghai Masters (Tennis)	Beijing, Shanghai, Chengdu, etc.	FILA: Official apparel sponsor for the China Open and professional players.
2026.10.01 – 2026.10.11	WTT China Smash	Beijing	1. Li-Ning: Official apparel and racket sponsor for the Chinese National Table Tennis and Badminton Teams. 2. DHS (Double Happiness): Official supplier of match tables and balls for the WTT Grand Smash.
2026.10.09 & 2026.10.11	2026-27 NBA China Games	Macau	Nike: Exclusive NBA jersey and court apparel provider
2026.10.20 Onward/ Late-Apr 2027	2026-27 NBA Regular Season/ Playoffs	North American	1. Nike / Jordan Brand: Exclusive NBA jersey sponsor; launching new flagship signature shoes for LeBron James, Jayson Tatum, Luka Dončić, etc. 2. Adidas: Unveiling new season signature models for Anthony Edwards, James Harden, Damian Lillard, etc. 3. ANTA / Li-Ning / 361° / PEAK: On-court debuts of flagship performance shoes worn by Kyrie Irving/ Klay Thompson/ Gordon Hayward (ANTA), Stephen Curry/ Jimmy Butler/ CJ McCollum (Li-Ning), Nikola Jokic/ Aaron Gordon (361°), and Andrew Wiggins/ Malik Monk (PEAK).

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

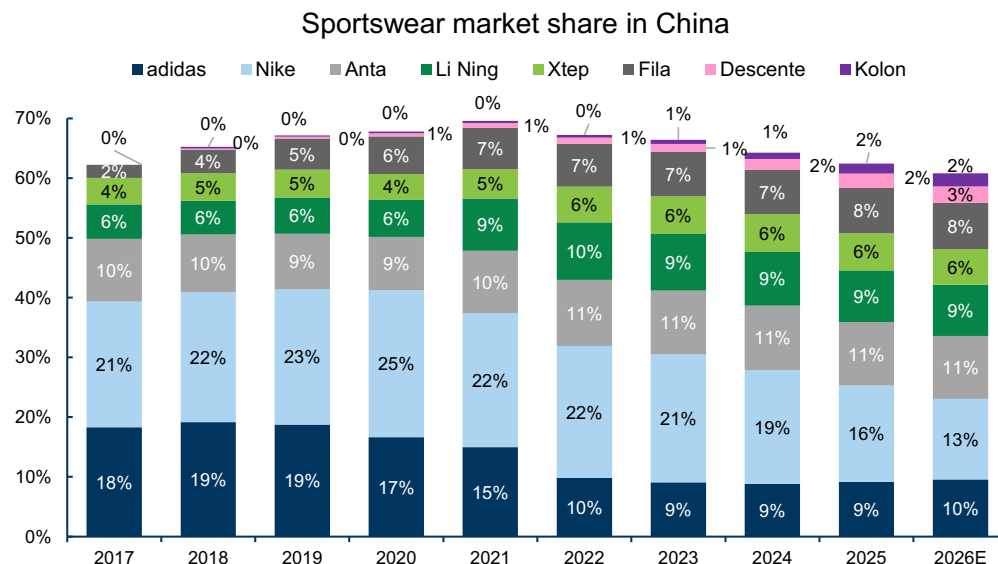
Competition landscape

We expect competition to remain intense and the industry de-consolidation trend to continue in 2026 with smaller brands sales outpacing large comprehensive brands (Exhibit 4).

One of the key developments to monitor in 2H26 is **Nike's** ongoing restructuring and

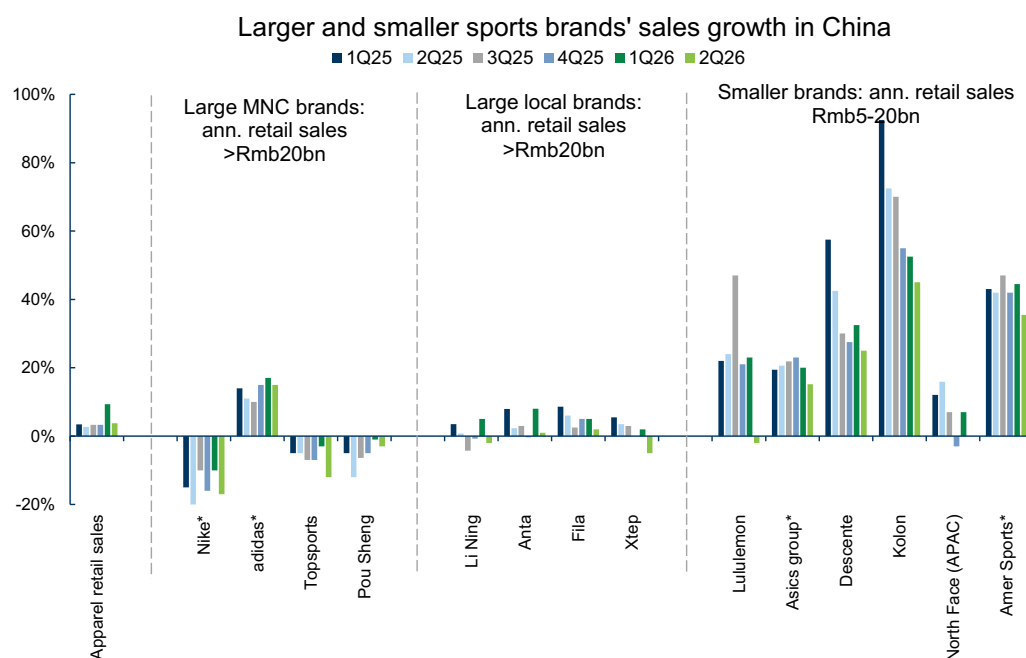
marketplace clean-up, which could create both opportunities and risks for the rest of the brands. Although we acknowledge that Nike's longer-term strategy of tighter marketplace control could be constructive for industry pricing discipline over time, its inventory rationalization and channel reforms may result in a more promotional market environment in the near term. Amid soft 3QTD sell-through, we see risk of deeper Double 11 discounting from Nike's online distributors with less healthy inventory positions. Besides this, execution and consumer acceptance of its premiumization strategy going forward remain important factors to monitor. In addition, Nike's decision to reduce reliance on external online distributors could also prompt channel partners to deepen cooperation with other international brands such as **Adidas, Asics, Under Armour, Columbia**, etc., potentially reshaping the competitive landscape as well.

During our recently held ALC meeting, **Asics mgmt** noted its constructive view on the long-term China opportunity, highlighting that the company's scale remains relatively small versus leading sportswear peers. Thus, its strategic focuses will be on retail network expansion (both DTC and distributor-operated stores, large-format/premium locations in key T1/T2 cities), premium brand position, and local to local sourcing. **Other global brands, including Adidas, On and Deckers, also indicated a positive tone on growth in China in recent results briefings**, citing continued momentum. Adidas plans to maintain its local-for-local strategy, while On will continue to pursue premium positioning, supported by e-commerce growth and flagship-store expansion. Deckers will continue to open stores in China, while prioritizing store quality and maintaining disciplined discounting. **Meanwhile, some brands are undergoing strategic adjustments: During its last results briefing, LULU noted that Lululemon** China saw a significant slow down and missed expectation in 2Q26 (cfx revenue -2% yoy vs. GSe +12%, 1Q +23%). Further, it lowered mainland China sales growth to +HSD% yoy (from prior ~20% yoy). Mgmt attributed the weakness to negative brand sentiment following a recent brand-related issue, a softer-than-expected Tmall 618 campaign, and inconsistent consumer response to new product launches. Going forward, management will focus on restoring brand sentiment and organic traffic through increased brand marketing, community activations, new store openings in prime locations etc. **Under Armour** will focus on marketplace management. Anta management expects **Puma transaction** to close in 4Q26 as planned. Following completion, management intends to work alongside Puma's management team to accelerate operational improvements and transformation initiatives.

Exhibit 3: China sportswear market share

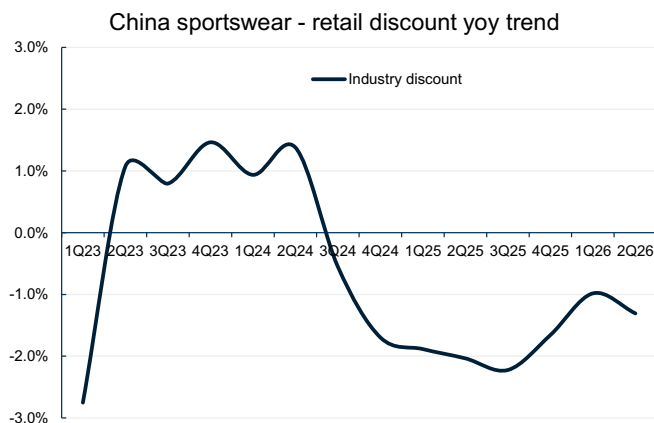
In terms of retail sales

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Sales growth of smaller sportswear players has been outpacing that of larger brands

* denoted brands reporting Greater China sales, while others are the China sales; Li Ning, Anta, Fila, Xtep used retail sales growth, other brands used reported sales growth.

Source: Company data, NBS

Exhibit 5: Retail discount yoy trend

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 6: Inventory turnover

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 7: Sportswear quarterly discount trend

Retail discounts	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Anta core	Offline: 28% off Online: slightly deepen	Offline: 27% off Online: slightly deepen by 1-2pp	Online: 50% off, deepen by 2pp yoy; Offline: 29% off (flat)	Offline: 29% off (1pp deeper) Online: c.50% off, 2pp improvement	Offline: 28% off (flat) Online: 50% off (flat)	Offline: 28% off (flat) Online: <50% off (2pp deeper)
Fila	Offline: 26% off Online: 41-42% off	Offline: 26% off Online: slightly deepen by 2pp	Offline: 26% off (1pp deeper) Online: 42% off (2pp deeper)	Offline: 27% off Online: 45% off	Offline: 26% off Online: 40% off	Offline: 27% off (1pp deeper) Online: 40% off (flat)
Xtep	25-30%, flat yoy	25-30%, slightly deepened yoy	Online deeper by LSD; Offline largely stable yoy	25-30%, slightly deepen yoy	25-30%	25-30%
Li Ning	Offline/Online: LSD improvement	Offline/Online: LSD deeper	Full channel deteriorated by LSDpp yoy.	Full channel deteriorated by LSDpp yoy.	Offline/Online: LSD deeper	Offline: MSD deeper Online: LSD deeper
Pou sheng	Offline LSD wider yoy	Offline wider yoy	Offline flat yoy	Offline wider yoy	Offline LSD improvement yoy	1H offline LSD improvement yoy
Topsports	FY4Q discount's yoy trend came worse vs FY3Q	Blended discount wider yoy, but FY1Q26 discount's yoy decline was narrower vs FY4Q25	Blended discount wider yoy	Blended discount wider yoy	Blended discount wider yoy	Blended discount wider yoy

Source: Company data, data compiled by Goldman Sachs Global Investment Research

Exhibit 8: Sportswear channel inventory turnover (# of months)

Channel inventory turnover months	2019	2020	2021	2022	2023	4Q24 /2024	1Q25	2Q25	3Q25	4Q25/ 2025	1Q26	2Q26
Anta core brand		>5	<5	>5	<5	c.5	<5	> c.5	> c.5	> c.5	<5	c.5
Fila		>6	6-7	7	<6	c.5	> c.5	> c.5	c.6	> c.5	<5	<5
Xtep	c.4	<5	c.4	5.5	4-4.5	4	4	4-4.5	4-4.5	4.5	4.5	4.5-5
Li Ning	4.2	4.2	3.9	4.2	3.6	4.0	c.5	4.0	5-6	4-5	c.5	4

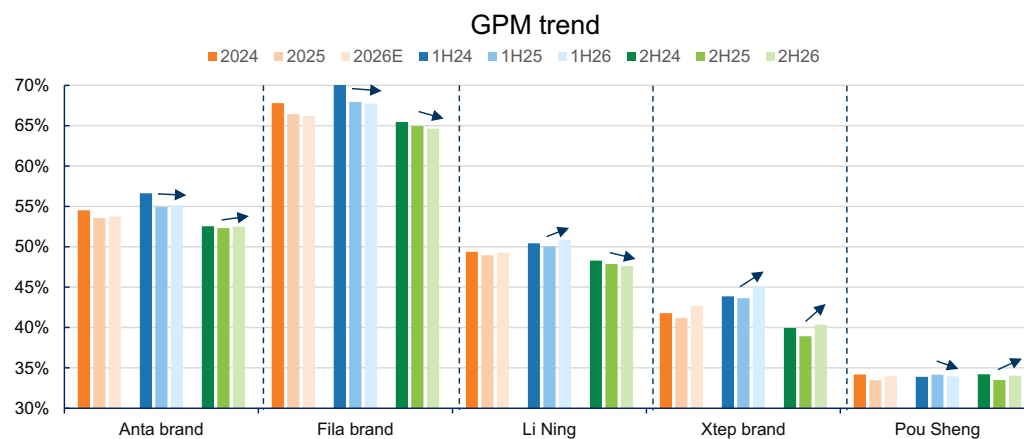
Source: Company data

Margins

On margins, we expect **discounting** pressure to be consistent generally while slightly differentiated across brands. Li Ning, Anta core and Xtep core brands could face greater pressure given their larger exposure to mass-market sportswear and street retail traffic, while FILA, Descente, Kolon as well as Saucony businesses appear more resilient due to stronger category positioning and premium product mix. **On the COGS side**, rising

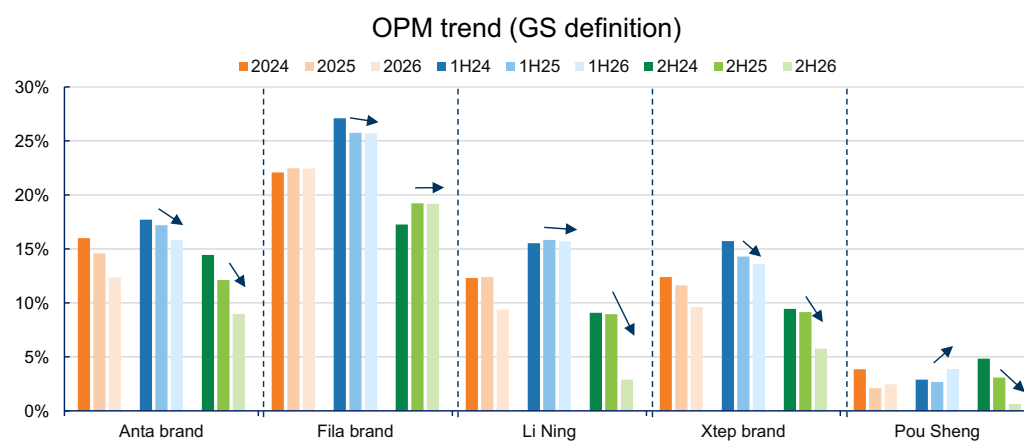
commodity costs should have limited impact in FY26 given procurement lock-in and supply-chain mitigation measures, although FY27 cost pressure remains a watch point but should be manageable ([Exhibit 9](#)). Regarding **operating expenses**, we expect A&P expense to stay elevated for Li Ning due to continued investment in the COC partnership and collaboration with Stephen Curry, while relatively discipline YoY for Anta and Xtep ([Exhibit 11](#)). That said, operating leverage could be a risk for slower-growing brands should revenue recovery fall short of expectations ([Exhibit 10](#)).

Exhibit 9: GPM trend in 2025, 1H25 and 2H25



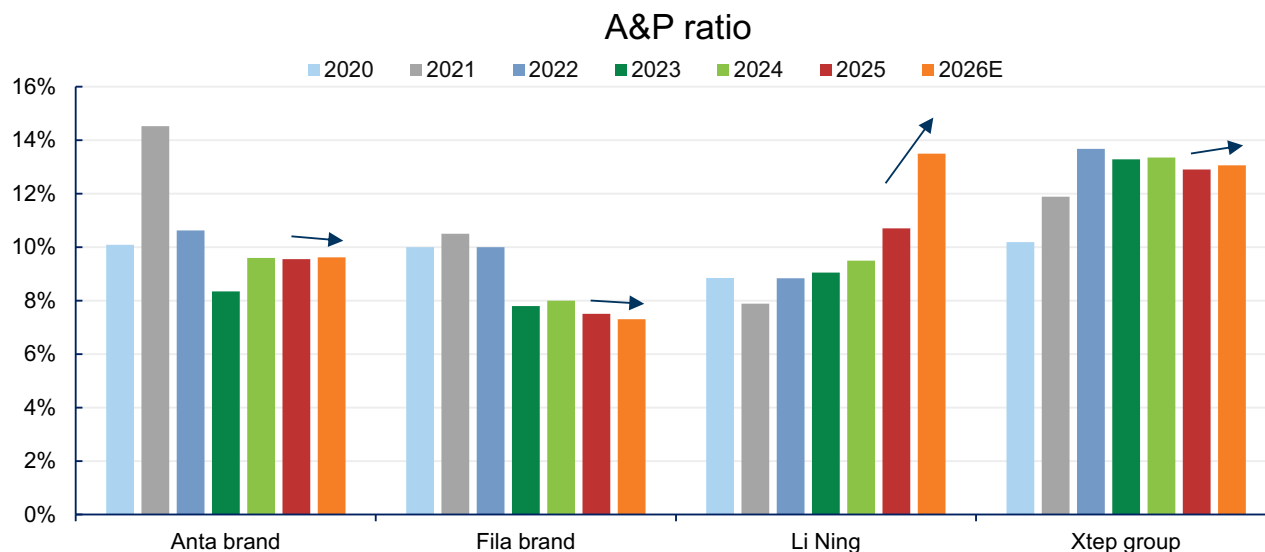
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 10: OPM trend in 2025, 1H25 and 2H25



OPM (GS defined) = GPM - SG&A ratio (excluding other income)

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: A&P ratio comparison

Source: Company data, Goldman Sachs Global Investment Research

Long-term growth engine: Overseas market

Beyond China, we view overseas expansion to be the next strategic focus for leading domestic brands.

That said, most overseas initiatives remain at an early stage and financial contributions are likely to remain limited in the near term. **Anta** mgmt has articulated a long-term objective of increasing overseas revenue to Rmb 10bn+ by 2030 from Rmb c.2bn currently, with overseas markets becoming a key strategic focus over the next decade. We believe Anta's multi-brand operating capabilities, together with Amer's established global distribution network, retail partnerships and consumer insights, could shorten the company's learning curve and improve execution efficiency in overseas markets. The proposed stake acquisition of Puma could further strengthen Anta's international brand portfolio and accelerate its globalization strategy per management, once the transaction is completed. For **Li Ning**, management is constructive on the long-term opportunity but continues to emphasize a measured expansion approach, as it requires meaningful upfront investment in brand awareness, product localization and channel development. Beyond direct revenue contribution, management also highlighted that its overseas basketball initiatives could generate valuable halo effects by enhancing Li Ning's brand perception in the domestic market. **Xtep** targets overseas operations to account for 5-10% of group revenue over the next five years, with current contribution at LSD% of group sales. The company plans to further expand its offline presence in Southeast Asia and enter the Middle East, while extending cross-border e-commerce to a broader range of markets. **361 degree** targets overseas revenue contribution of 30%+ within the next three to five years, vs. c.4% to 5% in 2026E. The company has established overseas teams covering Malaysia, Europe, the US, and Brazil markets, and plans to expand primarily through distributors.

Exhibit 12: Overseas strategies of select Chinese sportswear brands

Company	Overseas Exposure	Long-term Target	Key Markets	Expansion Strategy
Anta	c.3% of group revenue (1H26)	Rmb10bn+ overseas revenue by 2030	ASEAN, Middle East, Africa, Europe, North America, etc	Phased multi-brand expansion, with Anta/Fila/Amer synergies on channels, operations and consumer insights; Europe/US will focus more on brand building through basketball and running.
Li Ning	~LSD% of group revenue (1H26)	N/A	US and selected overseas markets	Focuses on building global awareness through basketball resources (e.g., Curry partnership)
Xtep	c.2-3% of group revenue (1H26)	5-10% of group revenue in 5 years	Offline: ASEAN, Middle East; Online: North America, Latin America, etc	Combines distributors, DTC and cross-border e-commerce.
361°	c.4-5% of group revenue by end-2026E	30%+ of group revenue in 5 years	ASEAN, Middle East, Africa, US, Europe, Latin America, etc	Distributor-led, asset-light expansion model supported by cross-border e-commerce, overseas-specific products, international sports sponsorships, and recruitment of global-brand talent.

Source: Company data, Goldman Sachs Global Investment Research

1H26 recap: Topline soft; GPM a positive surprise

Sales: China sportswear sales started with an encouraging Jan+Feb, but softened from March onward, followed by a weaker-than-expected 618 performance, further deteriorated in July amid unfavorable weather, with some recovery in August, though overall demand has remained soft. Though we see broad-based growth moderation in 2Q vs. 1Q, several brands continued to outperform the industry, including adidas/outdoor brands (Descente/Kolon Sport/Arc'teryx/Salomon)/ASICS/On. Meanwhile, we note continued pressure in the mass sports segment of Anta/Li Ning/Xtep core brands. Nike China continued to deteriorate with sales -10%/-17% yoy in 1Q/2Q with ongoing marketplace clean-up and channel adjustments.

1H26 GPM: 1H26 GPM generally came in above expectations where Anta/Li Ning/Xtep/Pou Sheng all delivered yoy GPM increase and beat GSe while Topsports delivered a yoy decline and miss. More specifically, Anta group's GPM in 1H26 beat GSe by 0.4pp (+0.5pp yoy) mainly thanks to Anta brand's 1H26 GPM being up 0.2pp yoy, beating GSe by 0.7pp with slower growth of lower-margin wholesale business, while Fila brand GPM was down 0.2pp yoy on product-quality upgrade and e-comm mix; **Li Ning's** 1H26 GPM was +0.9pp yoy, 0.8pp above GSe, thanks to wholesale cost optimization partially offset by deeper discounts; **Xtep** group GPM in 1H26 was +1.5pp yoy and +0.8pp better than GSe, with **Xtep brand** +1.5pp yoy, beating GSe by 0.9pp driven by disciplined discounts of flagship products; **Pou Sheng's 1Q** GPM increased 0.9pp yoy and beat GSe by 0.1pp, 2Q GPM declined 0.1pp yoy but still beat GSe by 0.3pp. **By contrast, Topsports' GPM** was under pressure (2HFY26 GPM -0.7pp yoy, miss GSe by 1.2pp) from higher-than-expected discounts as well as increasing online channel mix.

1H26 OPEX/OPM: OPM trends were mixed. Some brands and retailers benefited from disciplined cost control, while others recorded higher expenses due to increased marketing, brand-building, and channel investments. Fila OPM (excl. gov grants) came in broadly flat yoy with disciplined cost control and closure of

underperforming stores. **Pou Sheng's** SG&A ratio declined by 1.0/0.2pp yoy in 1Q/2Q thanks to continued cost controls. **Topsports** SG&A ratio declined by 1.4pp yoy on cost control of rental/staff. **On the other hand, Anta brand** OPM (excl. gov grants) were down 1.4pp yoy due to advertising and R&D expenses; **Li Ning** OPEX ratio increased 1pp yoy on higher A&P cost; **Xtep core** brand OPM decline 0.3pp yoy on DTC transfer costs.

Exhibit 13: Summary of 1H26 results

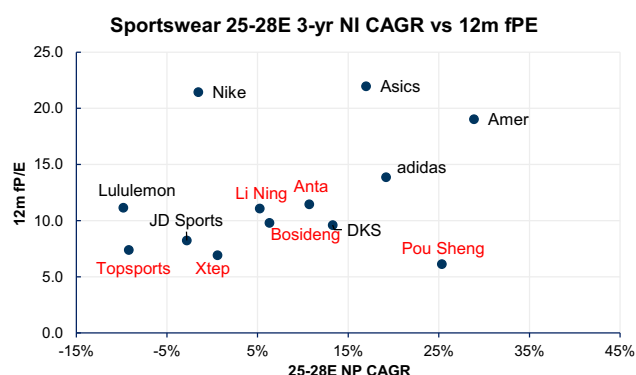
Rmb mn	Anta Group 1H26		Li Ning 1H26		Xtep 1H26		Topsports 2HFY26		Pou Sheng 1Q26		Pou Sheng 2Q26	
	Actual	vs Gse	Actual	vs Gse	Actual	vs Gse	Actual	vs Gse	Actual	vs Gse	Actual	vs Gse
Revenue yoy	43,507	0.4%	15,235	0.0%	6,795	0.0%	13,441	3.4%	5,051	0%	3,913	0%
		13%		3%		-1%		-4%		-1%		-3%
GPM yoy	63.9%	0.4pts	50.9%	0.8pts	46.4%	0.8pts	35.3%	-1.2pts	33.6%	0.1ppt	34.3%	0.3ppt
		0.5pts		0.8pts		1.5pts		-0.7pts		0.9pts		-0.1pts
OPM yoy	23.3%	0.9pts	15.7%	2.7pts	12.2%	-0.1pts	3.9%	-0.4pts	5.8%	-0.4ppt	1.4%	0.4ppt
		0.5pts		-0.1pts		-1.7pts		0.5pts		1.3pts		0.1pts

Source: Company data

Valuation

We view Chinese sportswear brands' valuation as undemanding relative to net income growth (CY2025-28E 3Y CAGR) and dividend yield (CY2026) versus global peers.

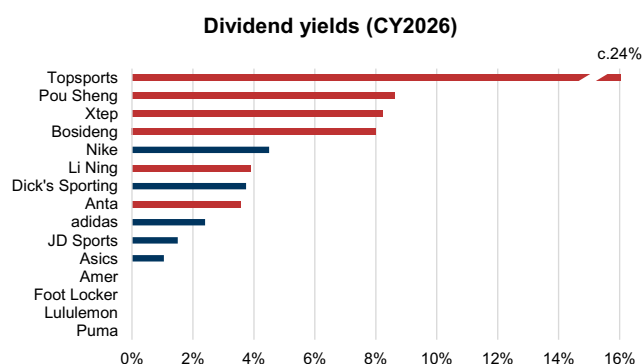
Exhibit 14: Risk-reward trade-off for domestic brands is attractive



Priced as of Sep 1; red denotes stocks under China Retail coverage.

Source: Goldman Sachs Global Investment Research

Exhibit 15: Dividend yields of Chinese sportswear is also attractive



Priced as of Sep 1; red denotes stocks under China Retail coverage.

Source: Goldman Sachs Global Investment Research

Exhibit 16: Sportswear comp sheet

Ticker	Company	Mkt cap	3m Avg daily turnover (US\$mn)	Price-Ccy	Rating	12m TP	Price	Implied upside	TP implied PE			PE			EV/EBITDA			EPS growth			Revenue growth			ROE		Div yield	FCF yield	NPM	Net gearing	
		US\$mn					9/7/2026		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2026E	2026E	2026E		
Down jacket brand																														
3998.HK	Bosideng	6,602	15.8	HKD	Buy	5.30	4.39	21%	12x	12x	11x	10x	10x	9x	6x	5x	5x	7%	5%	4%	6%	4%	3%	23%	23%	8%	7%	15%	-34%	
MONC.MI	Moncler	14,738	64.1	EUR	NC	n.a.	46.18	n.a	n.a.	n.a.	n.a.	19x	18x	16x	10x	9x	8x	9%	9%	9%	7%	7%	7%	16%	16%	n.a.	5%	20%	-27%	
VFC	VF Corp.	5,266	113.3	USD	Neutral	16.00	13.45	19%	16x	13x	11x	13x	11x	9x	9x	8x	7x	23%	23%	17%	-1%	1%	3%	21%	22%	3%	9%	4%	133%	
GOOS.TO	Canada Goose	796	1.7	CAD	Sell	11.50	11.28	2%	12x	10x	10x	11x	10x	10x	5x	4x	4x	16%	11%	6%	5%	4%	5%	15%	14%	0%	7%	6%	-7%	
Average									13x	12x	11x	13x	12x	11x	7x	7x	6x	14%	12%	9%	4%	4%	5%	19%	19%	3%	7%	11%	16%	
Median									12x	12x	11x	12x	10x	10x	8x	7x	6x	12%	10%	8%	5%	4%	4%	18%	19%	3%	7%	11%	-17%	
Sports/apparel brand																														
2020.HK	Anta Sports Products	27,089	73.2	HKD	Buy	108.00	75.85	42%	18x	15x	14x	12x	11x	10x	9x	6x	6x	7%	15%	11%	10%	8%	7%	21%	21%	4%	10%	17%	-28%	
2331.HK	Li Ning Co.	4,677	47.8	HKD	Buy	19.50	13.75	42%	19x	20x	13x	13x	11x	9x	4x	3x	2x	-22%	24%	21%	1%	6%	6%	8%	9%	4%	3%	8%	-59%	
1368.HK	Xtep	1,263	5.0	HKD	Buy	5.40	3.50	55%	11x	10x	10x	7x	7x	6x	4x	3x	2x	-13%	11%	6%	-2%	7%	3%	11%	12%	9%	17%	9%	-19%	
NKE	Nike Inc.	56,832	1,036.9	USD	Neutral	42.00	38.40	9%	23x	23x	20x	20x	21x	21x	18x	14x	15x	13x	-14%	1%	17%	-2%	0%	3%	18%	18%	4%	5%	6%	-8%
LULU	lululemon	11,236	485.6	USD	Neutral	95.00	100.61	-6%	10x	11x	11x	10x	10x	12x	12x	6x	6x	5x	-26%	-15%	-1%	-5%	-3%	1%	23%	18%	0%	6%	11%	-26%
ADSGn.DE	adidas	30,926	140.1	EUR	Neutral	180.00	147.60	22%	19x	15x	13x	16x	12x	11x	8x	7x	6x	27%	27%	16%	9%	8%	7%	28%	33%	2%	6%	6%	-30%	
DECK	Deckers	12,012	231.7	USD	Sell	86.00	85.81	0%	12x	11x	10x	12x	11x	10x	8x	7x	6x	7%	7%	9%	8%	5%	5%	39%	36%	n.a.	9%	18%	-76%	
ONON	ON Holding	8,272	208.3	USD	Buy	42.00	27.99	50%	30x	26x	22x	20x	17x	15x	8x	7x	6x	93%	14%	19%	22%	16%	16%	18%	16%	n.a.	4%	10%	-58%	
7936.T	Asics Corp.	19,744	126.1	JPY	Buy	6,000.00	4,164.00	44%	34x	29x	27x	24x	21x	19x	12x	11x	10x	27%	17%	9%	29%	9%	7%	48%	45%	1%	3%	12%	-46%	
AS	Amer	17,396	173.9	USD	Buy	48.00	29.53	63%	37x	29x	24x	23x	18x	15x	11x	9x	7x	35%	27%	19%	24%	13%	12%	10%	12%	n.a.	2%	9%	-11%	
CROX	Crocs	5,635	134.7	USD	Sell	95.00	117.53	-19%	6.8x	6.2x	5.7x	8.4x	7.7x	7.1x	6.8x	5.6x	4.6x	12%	9%	8%	1%	0%	1%	48%	38%	n.a.	7%	17%	50%	
PUMG.DE	Puma	4,133	19.1	EUR	Buy	33.00	23.53	40%	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	n.m.	7x	5x	n.a.	n.a.	883%	-6%	6%	5%	-17%	1%	0%	4%	-4%	-26%	
COLM.O	Columbia Sportswear	2,955	37.8	USD	NC	n.a.	57.72	n.a	n.a.	n.a.	n.a.	13x	14x	13x	8x	8x	7x	53%	-4%	4%	3%	3%	3%	13%	11%	n.a.	8%	6%	-25%	
UAA	Under Armour	2,255	50.6	USD	Neutral	5.50	5.25	5%	55x	42x	27x	52x	40x	26x	14x	13x	11x	-39%	32%	52%	-5%	0%	3%	3%	4%	0%	5%	1%	20%	
Average									23x	20x	16x	18x	15x	13x	9x	8x	7x	11%	13%	76%	6%	6%	6%	19%	20%	3%	6%	9%	-25%	
Median									19x	18x	13x	13x	12x	12x	8x	7x	6x	7%	14%	13%	2%	6%	5%	18%	17%	2%	5%	9%	-26%	
Sports retailers																														
6110.HK	Topspots	874	5.7	HKD	Neutral	1.20	1.11	8%	6x	8x	7x	6x	7x	6x	2x	2x	2x	-18%	-20%	16%	-12%	-13%	2%	13%	11%	24%	52%	5%	-32%	
3813.HK	Pou Sheng	265	0.2	HKD	Buy	0.54	0.39	38%	10x	6x	6x	7x	5x	4x	1x	0x	0x	18%	49%	12%	-7%	-6%	3%	3%	4%	8%	68%	2%	-18%	
DKS	Dick's Sporting Goods	12,361	409.8	USD	Buy	170.00	139.15	22%	15x	11x	9x	12x	9x	7x	9x	8x	6x	-12%	27%	27%	29%	7%	5%	19%	22%	4%	7%	5%	10%	
JD.L	JD Sports	5,743	17.3	GBP	Buy	105.00	83.00	27%	10x	9x	8x	8x	7x	6x	4x	3x	3x	-11%	8%	11%	0%	3%	4%	16%	14%	2%	-2%	4%	-13%	
2670.T	ABC-Mart	4,328	12.0	JPY	Neutral	2,700.00	2,697.50	0%	14x	14x	14x	14x	14x	14x	7x	6x	6x	2%	2%	3%	7%	5%	4%	12%	12%	3%	6%	12%	-52%	
Average									11x	10x	9x	9x	8x	8x	4x	4x	4x	-4%	13%	14%	3%	-1%	4%	13%	13%	8%	26%	5%	-21%	
Median									10x	9x	8x	8x	7x	6x	4x	3x	3x	-11%	8%	12%	0%	3%	4%	13%	12%	4%	7%	5%	-18%	

Note Green highlighted cells: China consumer team coverage & For Bosideng, Topsports, use FY26 to represent 2025
Non highlighted cells: non China consumer team coverage & refer to Calendar Year
I/B/E/S estimates for Not Covered (NC); all others are GSE

For Anta, we show reported recurring net income.

Source: Eikon, Company data, Goldman Sachs Global Investment Research

Price Target Risks and Methodology – Topsports Intl Holdings

Valuation methodology: We are Neutral-rated on Topsports with a 12-month target price of HK\$1.2 based on a 8x FY2/28E P/E.

Key risks: Downside: 1) slower-than-expected industry growth that leads to weaker sales and wider discounts; 2) stronger-than-expected negative impact from operating leverage; Upside: 3) better-than-expected brand momentum; 4) margin improvement and efficiency gains.

Price target risks and methodology – Li Ning Co.

Valuation methodology: We are Buy rated on Li Ning with our 12-month target price of HK\$19.50, based on 18x 2026-27E P/E.

Key risks: Slower-than-expected SSSG, intensified competition, higher-than-expected OPEX on brand investment, stores and labor expenses.

Price target risks and methodology – Pou Sheng International Holdings

Valuation methodology: We are Buy rated on Pou Sheng with a 12-month target price of HK\$0.54. Our TP is based on a 7x 2027E P/E.

Key risks: 1) Slower recovery of Nike/adidas growth in China; 2) higher discounts/inventory/operating deleverage.

Price target risks and methodology – Xtep International Holdings

Valuation methodology: We are Buy rated on Xtep with a 12-month TP of HK\$5.4, based on a 11x 2026E P/E.

Key downside risks: Slower industry growth on weakening consumption, and weaker-than-expected execution on discount control and inventory management, intensifying competition.

Price target risks and methodology – Anta Sports Products

Valuation methodology: We are Buy rated on Anta with a 12m P/E-based TP of HK\$108; our TP is based on a 18x 2027E P/E discounted back to mid-2027E at an 11% CoE.

Key risks: Weaker Anta brand/Fila growth, discount pressures, weaker opex control.

Disclosure Appendix

Reg AC

We, Michelle Cheng, Molly Dai, Keira Liu and Xinyu Ruan, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

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For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

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The rating(s) for Anta Sports Products, Li Ning Co., Pou Sheng International Holdings, Topsports Intl Holdings and Xtep International Holdings is/are relative to the other companies in its/their coverage universe: Anta Sports Products, Bloks Group Ltd., Bosideng International Holdings, Chagee Holdings, Chow Tai Fook Jewellery Group, Chow Tai Seng Jewellery, Eclat Textile Co., Feng Tay Enterprises, Guming Holdings Ltd., Haidilao International Holding, Huali Industrial Group, Juwei Food, Laopu Gold, Li Ning Co., Luckin Coffee Inc., Luk Fook Holdings, Makalot Industrial Co, Miniso (ADR), Miniso (H), Mixue Group, Pop Mart, Pou Sheng International Holdings, President Chain Store, Shanghai M&G, Shenzhen International Group, Stella International Holdings, Topsports Intl Holdings, Uni-President Enterprises, Xtep International Holdings, Yue Yuen Industrial, Yum China Holdings (ADR), Yum China Holdings (H)

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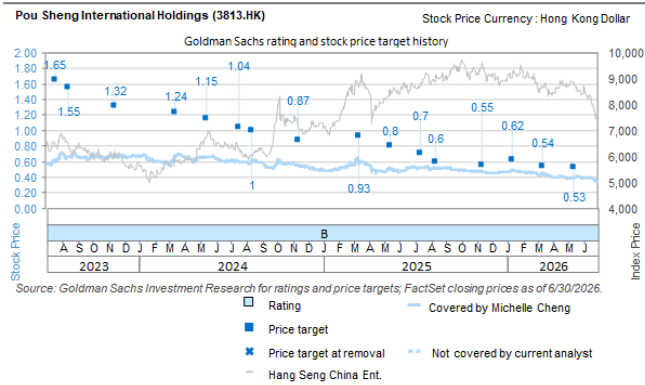
Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

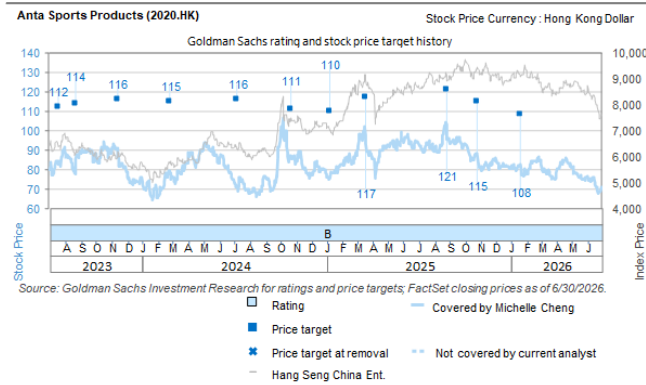
	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

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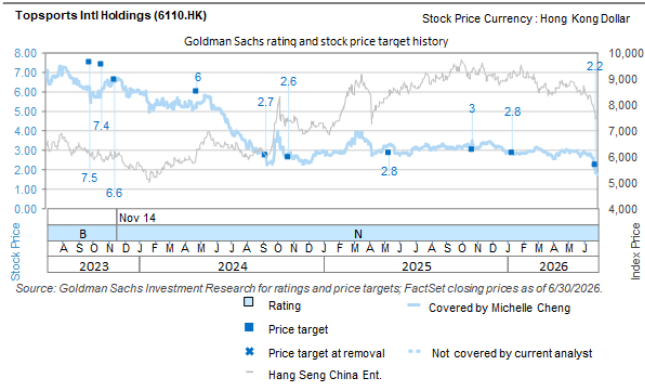
Price target and rating history chart(s)



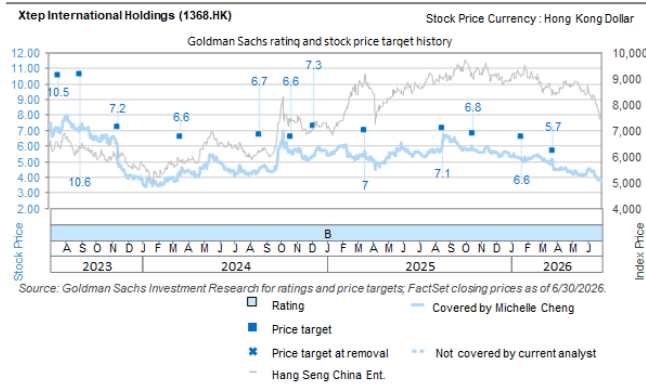
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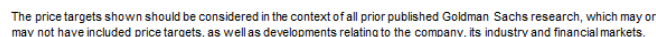
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Pou Sheng International Holdings (3813.HK)

Li Ning Co. (2331.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
20-Jan-26	108.00	82.55
27-Oct-25	115.00	87.80
27-Aug-25	121.00	101.60
19-Mar-25	117.00	97.90
08-Jan-25	110.00	75.25

Date of report	Target price (HK\$)	Closing price (HK\$)
22-Oct-24	111.00	87.10
08-Jul-24	116.00	71.35
26-Feb-24	115.00	77.70
14-Nov-23	116.00	86.65

Price targets shown in table(s) are unadjusted for corporate actions.

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